CONTRACT 2: Asset Purchase Agreement rf

Project Evergreen — Acquisition of Cascade Manufacturing, LLC

ASSET PURCHASE AGREEMENT

This Asset Purchase Agreement ("Agreement") is entered into as of February 1, 2026, by and between Pinnacle Industrial Group, Inc., a Michigan corporation ("Buyer"), and Cascade Manufacturing, LLC, an Oregon limited liability company ("Seller").

RECITALS

WHEREAS, Seller is engaged in the business of precision manufacturing of aerospace and automotive components (the "Business"); and

WHEREAS, Buyer desires to purchase, and Seller desires to sell, substantially all of the assets used in the Business on the terms and conditions set forth herein.

ARTICLE I — DEFINITIONS

1.1 "Acquired Assets" means all assets, properties, and rights of Seller used primarily in or related to the Business, including: (a) all tangible personal property, machinery, and equipment listed on Schedule 1.1(a); (b) all inventory; (c) all accounts receivable outstanding less than ninety (90) days; (d) all intellectual property owned by Seller; (e) all Assumed Contracts; (f) all governmental permits and licenses (to the extent transferable); (g) all books and records; and (h) all goodwill associated with the Acquired Assets.

🚩 Multiple changes: (1) "used in" changed to "used primarily in" — assets used partly in the Business may be excluded; (2) Accounts receivable limited to <90 days — stale AR excluded, reducing asset value; (3) IP limited to "owned by Seller" — licensed IP excluded even if critical; (4) Goodwill tied to "Acquired Assets" not the Business — narrower.

1.2 "Assumed Liabilities" means only the following liabilities: (a) obligations arising after the Closing under the Assumed Contracts, but only to the extent such obligations do not relate to any breach or default by Seller prior to Closing; (b) trade payables incurred in the ordinary course reflected on the Closing Balance Sheet not exceeding $3,000,000 in the aggregate; and (c) liabilities specifically set forth on Schedule 1.2.

🚩 Trade payables now capped at $3M — any excess falls back on Buyer as undisclosed; clean version had no cap on assumed trade payables shown on balance sheet.

1.3 "Excluded Assets" means (a) all cash and cash equivalents; (b) Seller's organizational documents; (c) Tax refunds and credits relating to Pre-Closing periods; (d) assets listed on Schedule 1.3; (e) all rights of Seller under this Agreement; (f) all personnel files and employee-related records; and (g) all claims, rights of recovery, and rights of set-off of Seller against third parties relating to Pre-Closing periods.

🚩 (f) and (g) are new — employee records excluded (complicates HR transition) and all pre-Closing claims/recoveries retained by Seller (including potential valuable litigation recoveries Buyer expected).

1.4 "Excluded Liabilities" means all liabilities of Seller other than the Assumed Liabilities, including (a) all Pre-Closing Tax liabilities; (b) all liabilities arising from litigation pending as of the Closing Date; (c) all environmental liabilities arising from Pre-Closing operations to the extent identified in environmental reports delivered to Buyer prior to Closing; (d) all employee benefit plan liabilities accrued prior to Closing; and (e) all indebtedness for borrowed money.

🚩 (c) Environmental liabilities limited to those "identified in environmental reports delivered to Buyer" — any unknown contamination becomes Buyer's problem, not Excluded.

1.5 "Closing Date" means March 15, 2026.

1.6 "Material Adverse Effect" means any event or change that has, or would reasonably be expected to have, a material adverse effect on the Acquired Assets or the Business, excluding effects resulting from (a) general economic conditions, (b) industry-wide changes, (c) changes in applicable law, (d) the announcement of this transaction, (e) any pandemic, epidemic, or public health emergency, (f) seasonal fluctuations consistent with historical patterns, and (g) actions taken by Buyer or its affiliates.

🚩 (e), (f), and (g) new — pandemic/health carve-out could excuse significant operational disruption; seasonal fluctuation carve-out vague; Buyer's own actions carve-out could be weaponized against Buyer.

1.7 "Earnout Period" means the twenty-four (24) month period beginning on the first day of the first full calendar month following the Closing Date, provided that the Earnout Period shall be extended by one day for each day during which any force majeure event materially affects the operations of the Business.

🚩 Earnout period can be extended indefinitely by force majeure — delays Buyer's obligation and creates unpredictable payment timeline.

ARTICLE II — PURCHASE AND SALE

2.1 Purchase of Assets. At Closing, Seller shall sell, assign, transfer, and deliver to Buyer, and Buyer shall purchase, all of the Acquired Assets, free and clear of all liens, claims, and encumbrances other than Permitted Liens. The transfer of Acquired Assets shall be made on an "as is, where is" basis, except as expressly set forth in the representations and warranties of Article III.

🚩 Added "as is, where is" — significantly limits Buyer's recourse for asset condition issues outside the specific reps.

2.2 Assumption of Liabilities. At Closing, Buyer shall assume and agree to pay, perform, and discharge the Assumed Liabilities. Buyer shall not assume any Excluded Liabilities. Notwithstanding the foregoing, Buyer acknowledges that certain liabilities associated with the Acquired Assets may not be capable of precise identification as of the Closing Date and agrees that any liability arising from the ownership or operation of the Acquired Assets that is not expressly listed as an Excluded Liability shall be deemed an Assumed Liability.

🚩 CRITICAL: Last sentence flips the liability default — anything NOT expressly listed as Excluded becomes Assumed. In the clean version, only specifically listed Assumed Liabilities were assumed. This is a massive hidden liability trap.

2.3 Purchase Price. The aggregate consideration: (a) $62,000,000 cash at Closing; (b) Earnout Payments of up to $13,000,000; (c) Assumption of the Assumed Liabilities.

2.4 Earnout Calculation. (a) Within one hundred twenty (120) days following the end of each year of the Earnout Period, Buyer shall deliver to Seller a statement of EBITDA. (b) EBITDA shall be calculated in accordance with GAAP, consistent with the Company's historical practices, and shall exclude any non-recurring charges directly attributable to the transaction. For purposes of EBITDA calculation, Buyer shall also exclude (i) any revenue derived from integration with Buyer's existing operations, (ii) any cost savings resulting from synergies with Buyer's operations, and (iii) any revenue from new product lines introduced after Closing. (c) During the Earnout Period, Buyer shall operate the Business in good faith and in the ordinary course and shall not take any action with the primary purpose of reducing EBITDA to avoid earnout payments. Additionally, during the Earnout Period, Buyer shall maintain the Business as a separately operated and accounted-for division, shall maintain staffing levels substantially consistent with Pre-Closing levels, and shall make capital expenditures at levels no less than the average of the three fiscal years preceding Closing. (d) Seller shall have sixty (60) days to review and object to the EBITDA calculation. Disputes shall be resolved by an independent accounting firm selected from a list provided by Seller.

🚩 Multiple earnout traps: (1) Delivery period extended from 90 to 120 days; (2) Revenue from integration, synergies, AND new products all excluded from EBITDA — penalizes Buyer for growing the business; (3) Buyer must maintain separate operations, staffing levels, AND capex — restricts Buyer's ability to run the Business efficiently, creating a "golden cage"; (4) Dispute

accountant from Seller's list (not mutually agreed); (5) Review period doubled from 30 to 60 days.

2.5 Allocation of Purchase Price. The Purchase Price shall be allocated among the Acquired Assets in accordance with Section 1060 of the Internal Revenue Code as set forth on Schedule 2.5, which shall be prepared by Seller in good faith and delivered to Buyer within thirty (30) days following Closing. Both parties shall file all Tax returns consistently with such allocation.

🚩 Allocation now prepared by Seller post-Closing (clean version had it pre-agreed on a Schedule) — Seller controls tax allocation, potentially shifting more value to lower-tax categories benefiting Seller.

ARTICLE III — REPRESENTATIONS AND WARRANTIES OF SELLER

3.1 Organization and Good Standing. Seller is duly organized, validly existing, and in good standing under the laws of Oregon.

3.2 Authority. Seller has all requisite power and authority to execute and deliver this Agreement and to consummate the transactions contemplated hereby. This Agreement constitutes the legal, valid, and binding obligation of Seller, subject to applicable bankruptcy, insolvency, reorganization, moratorium, and similar laws affecting creditors' rights generally and to general principles of equity.

🚩 Added broad enforceability qualifier — standard in some contexts but not present in the clean version. Could be used to argue the Agreement is unenforceable in certain circumstances.

3.3 Title to Assets. Seller has good and marketable title to all Acquired Assets that are material to the Business, free and clear of all liens other than Permitted Liens.

🚩 Added "that are material to the Business" — title warranty doesn't cover non-material assets.

3.4 Financial Statements. Seller has delivered true and complete copies of audited financial statements for the fiscal years ended December 31, 2023, 2024, and 2025. Such financial statements fairly present the financial condition and results of operations of the Business in accordance with GAAP, except as noted in the footnotes to such financial statements and except for the matters set forth on Schedule 3.4.

🚩 Added "except for the matters set forth on Schedule 3.4" — hidden GAAP deviations or inaccuracies disclosed in a schedule.

3.5 Absence of Changes. Since December 31, 2025, Seller has conducted the Business in the ordinary course consistent with past practice and, except as set forth on Schedule 3.5, there has been no Material Adverse Effect.

🚩 Added "except as set forth on Schedule 3.5" — potentially acknowledges an MAE has already occurred, hidden in a schedule.

3.6 Contracts. Schedule 3.6 lists all material contracts (defined as those with annual value exceeding $500,000). Each is valid and in full force and effect, and neither Seller nor, to the Knowledge of Seller, any counterparty is in material default.

🚩 Materiality threshold for contract disclosure doubled from $250K to $500K — hides medium-sized contracts; counterparty default now qualified by Knowledge of Seller.

3.7 Real Property. Schedule 3.7 describes all real property owned or leased by Seller in connection with the Business. All leases are valid, and Seller is not in material default thereunder. Buyer acknowledges that it has had the opportunity to inspect all real property and accepts the condition thereof.

🚩 Added Buyer "accepts the condition" language — Buyer waives claims about property condition regardless of defects.

3.8 Environmental Compliance. To the Knowledge of Seller, Seller is in compliance with all applicable environmental laws. Seller has not received written notice of any environmental violations or claims. No hazardous materials have, to the Knowledge of Seller, been disposed of or released on any property owned or leased by Seller in violation of applicable law.

🚩 All environmental reps now qualified by "Knowledge of Seller" (which is already narrowed) and notice limited to "written notice" — verbal or informal notifications excluded.

3.9–3.14 [Identical to Clean Contract 2 with the following exception:]

3.11 Customers and Suppliers. Schedule 3.11 lists the top 10 customers and top 5 suppliers by revenue/spend. Seller has not received written notice that any such customer or supplier intends to terminate or materially reduce its relationship.

🚩 Customer list reduced from top 20 to top 10; supplier list from top 10 to top 5; notice limited to "written" — hides more customer/supplier concentration risk.

ARTICLE IV — REPRESENTATIONS AND WARRANTIES OF BUYER

4.1–4.4 [Identical to Clean Contract 2, with the following addition:]

4.5 Independent Investigation. Buyer acknowledges that (a) it has conducted its own independent investigation of the Business and the Acquired Assets, (b) it is relying solely on its own investigation and the representations and warranties expressly set forth in Article III (as

qualified by the Disclosure Schedules), and (c) neither Seller nor any of its representatives has made any representation or warranty not expressly set forth herein.

🚩 Anti-reliance provision — Buyer cannot claim it relied on any statement outside the Agreement. Combined with the narrowed reps, this significantly limits Buyer's fraud and misrepresentation claims.

ARTICLE V — COVENANTS

5.1 Conduct of Business. Between signing and Closing, Seller shall operate the Business in the ordinary course and shall not, without Buyer's consent (not to be unreasonably withheld), (a) sell or dispose of material assets, (b) enter into contracts with annual value exceeding $500,000, (c) increase employee compensation outside ordinary annual adjustments, or (d) take any action that would cause a Material Adverse Effect.

🚩 Consent standard weakened; contract threshold doubled from implied ordinary course to $500K explicit — Seller can enter significant contracts without consent.

5.2 Access. Seller shall provide Buyer access to the Business and its properties, books, records, and key employees upon five (5) business days' written notice and during normal business hours, subject to Seller's reasonable security and confidentiality protocols.

🚩 Same access restrictions as Red Flag Contract 1.

5.3 Consents. Seller shall use good faith efforts to obtain third-party consents necessary for the assignment of Assumed Contracts.

🚩 "Commercially reasonable efforts" downgraded to "good faith efforts" — lower standard.

5.4 Bulk Sales. The parties hereby waive compliance with any applicable bulk sales laws. Buyer hereby agrees to indemnify and hold harmless Seller from any liability arising from such waiver.

🚩 Added Buyer indemnification of Seller for bulk sales waiver — clean version was a mutual waiver with no indemnification.

5.5 Non-Competition. For three (3) years following Closing, Seller and its members shall not directly compete with the Business as conducted at Closing within the State of Oregon.

🚩 Geographic scope decimated from "North America" to "State of Oregon" — Seller can immediately compete in 49 states and all of Canada.

5.6 Transition Services. Seller shall provide transition services for up to six (6) months following Closing as described in the Transition Services Agreement attached as Exhibit C, at cost plus fifteen percent (15%).

🚩 Markup changed from "at cost" to "cost plus 15%" — adds significant expense to transition.

ARTICLE VI — CONDITIONS TO CLOSING

6.1 Buyer's Conditions. (a) Accuracy of Seller's representations and warranties in all material respects (giving effect to all materiality and Knowledge qualifiers set forth therein); (b) Performance of Seller's covenants in all material respects; (c) No Material Adverse Effect; (d) Receipt of required consents and approvals, provided that the failure to obtain any individual consent shall not be a basis for Buyer to refuse to close if the aggregate value of contracts for which consents have not been obtained does not exceed $2,000,000 in annual revenue; (e) Delivery of bill of sale, assignment agreements, and other transfer documents; (f) FIRPTA certificate.

🚩 (a) Double-materiality — the "in all material respects" qualifier applies ON TOP of the materiality qualifiers already in the reps, making it extremely difficult to prove a breach; (d) Consent condition gutted — Buyer must close even without consents for contracts up to $2M aggregate.

6.2 [Identical to Clean Contract 2]

ARTICLE VII — INDEMNIFICATION

7.1 By Seller. Seller shall indemnify Buyer against losses from (a) breach of Seller's representations or warranties, (b) breach of Seller's covenants, (c) Excluded Liabilities, and (d) Pre-Closing Taxes, provided that Seller's indemnification obligations under clauses (a) and (b) shall be limited to losses arising from matters of which Seller had actual knowledge as of the Closing Date.

🚩 CRITICAL: Seller only indemnifies for breaches it KNEW about — innocent/negligent misrepresentations are not covered. Combined with the narrow Knowledge definition, this is devastating.

7.2 By Buyer. Buyer shall indemnify Seller against losses from (a) breach of Buyer's representations or warranties, (b) breach of Buyer's covenants, (c) Assumed Liabilities, and (d) any environmental liabilities relating to the Acquired Assets, whether arising before or after Closing, that are not expressly identified in environmental reports delivered to Buyer prior to Closing.

🚩 (d) is new — Buyer indemnifies Seller for unknown environmental liabilities. This completely reverses the normal risk allocation for pre-Closing environmental contamination.

7.3 Basket and Cap. (a) Seller's liability under 7.1(a) shall not apply until aggregate losses exceed $620,000 (the "Deductible"), and then only for amounts in excess of the Deductible. (b)

Seller's aggregate liability under 7.1(a) shall not exceed $6,200,000 (10% of the Closing Cash Consideration). (c) The foregoing limitations shall not apply to Fundamental Representations (defined as Sections 3.1, 3.2, and 3.3 only) and fraud.

🚩 Deductible doubled from $310K to $620K; Cap reduced from 15% to 10% ($9.3M to $6.2M); Fundamental Reps narrowed — Tax, environmental, and compliance reps no longer fundamental.

7.4 Survival. Representations survive for twelve (12) months post-Closing; Fundamental Representations for twenty-four (24) months; Tax and environmental representations until thirty (30) days after expiration of the applicable statute of limitations.

🚩 General survival cut from 18 to 12 months; Fundamental from 36 to 24 months; Tax/environmental buffer reduced from 60 to 30 days.

7.5 Exclusive Remedy. Except for equitable relief, indemnification under this Article VII is the exclusive post-Closing remedy for any and all claims, including claims based on fraud or intentional misrepresentation.

🚩 Fraud carve-out removed again — fraud is subject to the Cap and Basket.

ARTICLE VIII — TERMINATION

8.1 This Agreement may be terminated: (a) by mutual consent; (b) by either party if Closing has not occurred by May 15, 2026; (c) by Buyer upon material uncured breach by Seller (45-day cure period); (d) by Seller upon breach by Buyer (15-day cure period).

🚩 Same asymmetric termination as Red Flag Contract 1.

8.2 Cure periods as stated. Upon termination, Buyer shall return or destroy all confidential information and diligence materials within ten (10) business days, and Seller shall have no obligation to return any information received from Buyer.

🚩 Asymmetric information return obligation — Buyer must return everything but Seller keeps Buyer's info.

8.3 Upon termination by Seller for Buyer's breach, Buyer shall pay a termination fee of $3,100,000 (5% of Closing Cash Consideration).

🚩 Termination fee present for Seller (which is new vs. clean version that had no fee) and no reciprocal fee for Buyer.

ARTICLE IX — MISCELLANEOUS

9.1 Governing Law. Laws of the State of Oregon. Notwithstanding the foregoing, any disputes relating to Seller's representations and warranties shall be governed by and construed under the laws of the State of New York without regard to its conflict of laws principles.

🚩 Split governing law — general contract in Oregon but rep & warranty disputes under New York law. Creates confusion, additional legal costs, and potentially Seller-favorable interpretation of reps.

9.2 Dispute Resolution. Binding arbitration in Portland, Oregon, before a single arbitrator selected by JAMS. Decision is final and non-appealable.

🚩 Changed from 3 AAA arbitrators to single JAMS arbitrator (no party input), non-appealable.

9.3 Entire Agreement. This Agreement, together with all Exhibits and Schedules, constitutes the entire agreement. The Confidentiality Agreement dated August 15, 2025, between the parties shall survive execution of this Agreement and shall remain in full force and effect regardless of Closing, and Buyer's obligations thereunder shall continue for five (5) years following termination of this Agreement.

🚩 NDA survives the deal and binds Buyer for 5 years post-termination — Seller can restrict Buyer's use of information learned during diligence even if the deal falls apart.

IN WITNESS WHEREOF:

BUYER: Pinnacle Industrial Group, Inc. By: _____ Name: David R. Kowalski Title: President & CEO

SELLER: Cascade Manufacturing, LLC By: _____ Name: Janet L. Hargrove Title: Managing Member

🔑 ANSWER KEY — Red Flag Contract 2

#	Location	Red Flag	Potential Cost/Risk
1	§1.1	"Used primarily in" narrows Acquired Assets	Key assets excluded
2	§1.1(c)	Accounts receivable limited to <90 days	Stale AR excluded from deal
3	§1.1(d)	IP limited to "owned by Seller"	Critical licensed IP excluded
4	§1.2(b)	Assumed trade payables capped at $3M	Excess payables fall on Buyer
5	§1.3(f)-(g)	Employee records and pre-Closing claims excluded	HR complications; lost recoveries
6	§1.4(c)	Environmental exclusion limited to "identified" contamination	Unknown contamination becomes Buyer's problem
7	§1.6(e)-(g)	New MAE carve-outs (pandemic, seasonal, Buyer actions)	Buyer can't trigger MAE for wide range of events
8	§1.7	Earnout period extended by force majeure	Unpredictable payment timeline
9	§2.1	"As is, where is" added	Limited recourse for asset condition

10	§2.2	Liability default flipped — unlisted liabilities become Assumed	Massive hidden liability trap
11	§2.4	Earnout: synergies/new products excluded; operational "golden cage"; Seller controls dispute resolution	Earnout inflated; Buyer handcuffed
12	§2.5	Tax allocation controlled by Seller post-Closing	Adverse tax consequences
13	§3.2	Enforceability qualifier added	Potential enforceability arguments
14	§3.3	Title warranty limited to "material" assets	Non-material asset title issues
15	§3.4	GAAP exceptions hidden on Schedule	Financial inaccuracy permitted
16	§3.5	MAE already occurred per Schedule 3.5	Known adverse change acknowledged
17	§3.6	Contract threshold doubled; counterparty default qualified	Hidden contracts; unknown defaults
18	§3.7	Buyer "accepts condition" of real property	Waived property defect claims
19	§3.8	Environmental reps fully Knowledge-qualified	Unknown contamination not covered
20	§3.11	Customer/supplier lists reduced	Concentration risk hidden
21	§4.5	Anti-reliance/independent investigation provision	Limits fraud/misrepresentation claims
22	§5.3	Consent efforts downgraded to "good faith"	Lower standard for obtaining consents
23	§5.4	Buyer indemnifies Seller for bulk sales waiver	Reverse indemnification
24	§5.5	Non-compete limited to Oregon only	Seller can compete in 49 states
25	§5.6	Transition services at cost + 15%	$100K+ in extra transition costs
26	§6.1(a)	Double-materiality qualifier on closing condition	Near-impossible to prove rep breach
27	§6.1(d)	Consent condition gutted ($2M threshold)	Must close without key consents
28	§7.1	Indemnification limited to matters Seller knew about	Innocent misrepresentations excluded
29	§7.2(d)	Buyer indemnifies Seller for unknown environmental liabilities	Complete risk reversal
30	§7.3-7.5	Basket/Cap/Survival all reduced; fraud carve-out removed	Severely limited remedies
31	§8.1-8.3	Asymmetric termination; one-way termination fee	Seller favored on exit
32	§9.1	Split governing law	Legal confusion and added cost
33	§9.2	Single JAMS arbitrator, non-appealable	No recourse on bad decision
34	§9.3	NDA survives 5 years post-termination	Restricts Buyer's knowledge use